

COMMITTEE ON NATURAL RESOURCES, ENERGY & WATER
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2782
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 40, chapter 2, article 7, Arizona Revised
3 Statutes, is amended by adding section 40-363, to read:

4 40-363. Commission; public utilities; establishing rates;
5 fair value

6 ~~[A. THE COMMISSION SHALL CONSIDER THE FAIR VALUE WHEN DETERMINING A~~
7 ~~JUST AND REASONABLE RATE AS PRESCRIBED IN SECTION 40-361.]~~

8 ~~[B.]~~ [A. IF A REGULATORY ASSET IS INCLUDED IN RATE BASE OR
9 OTHERWISE REFLECTED IN RATES BASED ON A TEST YEAR OR HISTORICAL BALANCE,]
10 THE COMMISSION AND [A] [THE] PUBLIC [UTILITY] [SERVICE CORPORATION] SHALL
11 [PUBLISH] [DISCLOSE ALL OF THE FOLLOWING:

12 1. THE UNAMORTIZED BALANCE OF THE REGULATORY ASSET AS OF THE RATE
13 EFFECTIVE DATE.

14 2. THE DIFFERENCE BETWEEN THE TEST YEAR BALANCE AND THE RATE
15 EFFECTIVE DATE BALANCE.

16 3.] ~~THE [COMMISSION'S AND THE PUBLIC UTILITY'S TARIFF SCHEDULE,~~
17 ~~INCLUDING THE] [TOTAL AMOUNT OF] AMORTIZATION [EXPENSE EXPECTED TO BE]~~
18 ~~[SCHEDULE OF HOW COSTS ASSOCIATED WITH REGULATORY ASSETS ARE] RECOVERED~~
19 OVER [TIME] [THE PERIOD THE RATES ARE IN EFFECT.

20 4. IF A PUBLIC SERVICE CORPORATION'S REGULATORY ASSETS INCLUDE
21 EITHER ASSETS WHOSE RATE BASE VALUE REMAINS FIXED UNTIL THE NEXT RATE CASE
22 OR ASSETS WHOSE RATE BASE VALUE DECLINES IN PROPORTION TO THE AMORTIZATION
23 OF] [FOR THE PURPOSES OF THIS SECTION,] THE UNAMORTIZED BALANCE[, THE
24 PUBLIC SERVICE CORPORATION SHALL DISCLOSE THE TREATMENT APPLIED TO EACH
25 CATEGORY OF REGULATORY ASSET AND INDICATE WHETHER AND HOW RATE BASE WILL
26 BE ADJUSTED OVER] [SHALL BE REDUCED BY THE AMOUNT OF REVENUE THAT IS
27 COLLECTED FROM CUSTOMERS TO COVER AMORTIZATION EXPENSES.

28 ~~C. FOR THE PURPOSES OF THIS SECTION:~~

1 ~~1. "FAIR VALUE":~~
2 ~~(a) MEANS THE BOOK VALUE OF UTILITY PROPERTY AT THE] TIME [TO~~
3 ~~REFLECT DECLINING BALANCES FOR THE ASSETS SUBJECT TO SUCH ADJUSTMENT.]~~
4 ~~[SERVICE IS PROVIDED TO CONSUMERS AND RATES ARE EFFECTIVE.~~
5 ~~(b) INCLUDES THE]~~
6 [B. ~~NOTHING IN THIS SECTION REQUIRES THE COMMISSION TO ADOPT ANY~~
7 ~~PARTICULAR ADJUSTMENT MECHANISM, BUT THIS SECTION DOES REQUIRE THE~~
8 ~~COMMISSION TO ENSURE THAT THE DISCLOSURES REQUIRED BY THIS SECTION ARE~~
9 ~~SUFFICIENT TO COMPARE THE TOTAL AMOUNTS THAT WILL BE RECOVERED IN RATES~~
10 ~~AGAINST THE REMAINING] UNAMORTIZED BALANCE [OF REGULATOR ASSET.] [ON THE~~
11 ~~BOOKS OF THE PUBLIC UTILITY AT THE TIME THE PUBLIC UTILITY PROVIDES~~
12 ~~SERVICE TO CONSUMERS.~~
13 ~~2. "PUBLIC UTILITY" INCLUDES PUBLIC SERVICE CORPORATIONS,~~
14 ~~MUNICIPALLY OWNED SYSTEMS AND DISTRICTS THAT ARE SUBJECT TO ARTICLE XIII,~~
15 ~~SECTION 7, CONSTITUTION OF ARIZONA.]~~
16 Sec. 2. Legislative intent
17 The legislature intends that the corporation commission and [a]
18 public [utility] [service corporations] publicly post tariff schedules,
19 including amortization schedules, that impact rates as this provides the
20 public with the ability to comment on rate schedules that are set by the
21 corporation commission.

22 Enroll and engross to conform
23 Amend title to conform
And, as so amended, it do pass

GAIL GRIFFIN
CHAIRMAN

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